

CAPITAL MARKETS

Hudson Bay's \$60M Refi Shows Office Capital Is Betting on Repositioning, Not Recovery

Bridge loan for Bell Works Fort Monmouth reveals lender appetite for repositioned suburban office with anchor tenancy.

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A source-grounded Light Tower Insight. The complete note follows.

Hudson Bay Capital is not betting that suburban New Jersey office has recovered. It is betting that a repositioned campus with 88 percent occupancy and a credit tenant anchor can generate enough cash flow to service a bridge loan while the sponsor executes the remaining lease-up.

The \$60 million refinancing of Bell Works Fort Monmouth reveals a narrower truth about office debt markets in mid-2026: capital is available for assets that have already absorbed the vacancy shock, replaced single-tenant risk with diversified income, and secured a tenant whose credit supports the underwriting. The loan is not a vote of confidence in office broadly. It is a vote of confidence in this basis, this leasing trajectory, and this sponsor's ability to finish what it started.

The property, a 276,900-square-foot mixed-use campus in Tinton Falls, was originally built by data protection firm Commvault as its headquarters in 2014. Somerset Development and HIG Capital acquired it last year and have since reimaged it as flexible office and retail space. The leasing results are striking: 222,000 square feet of leases signed since the repositioning, including a 72,326-square-foot headquarters lease for Jersey Mike's and a 2,286-square-foot retail location. Commvault remains in place at 101,878 square feet. The campus now sits at 88 percent occupied.

That leasing velocity is the reason Hudson Bay is willing to provide bridge financing. A lender underwriting a repositioned office asset needs to see that the market accepts the new product. Bell Works Fort Monmouth has demonstrated that demand exists for repurposed suburban office with mixed-use amenities, particularly near the Netflix studio complex under construction nearby. The tenant roster includes a credit tenant in Jersey Mike's, a growing national brand, and an existing credit tenant in Commvault. That income stream reduces the risk that the loan will need to be extended or restructured before stabilization.

The bridge structure is revealing. Hudson Bay Capital, a private credit provider, is not offering permanent financing. It is offering time: time for Somerset and HIG to push occupancy from 88 percent toward 95 percent or higher, time for the mixed-use retail component to mature, and time for the broader Fort Monmouth redevelopment to gain momentum. The loan is a liquidity bridge, not a

terminal capital solution. The sponsor will eventually need to refinance into agency, CMBS, or balance-sheet debt once the asset is stabilized and the cash flow is predictable enough to support a lower cost of capital.

The deal also shows where private credit is most active in office today. Hudson Bay is not competing with banks for core office loans. It is competing for transitional assets where the story has improved but the income is not yet permanent. The pricing on a bridge loan for a repositioned suburban office campus is likely higher than a conventional refinancing, reflecting the remaining execution risk. But the lender gets a first-lien position on an asset with strong leasing momentum and a sponsor with a track record of repositioning, which reduces the downside.

Walker & Dunlop's capital markets team negotiated the debt, which signals that institutional advisory firms are still able to place transitional office debt with private credit providers. The team's involvement suggests the loan was competitively marketed and that multiple lenders evaluated the asset before Hudson Bay won the mandate. That is a positive signal for the broader market: there is enough lender appetite for well-located, well-leased repositioned office to create a clearing price.

The transaction does not prove that office is back. It proves that office can trade and finance when the basis is right, the sponsor is credible, and the leasing story is real. The next test for Bell Works Fort Monmouth is whether Somerset and HIG can push occupancy above 90 percent and generate enough net operating income to support a permanent refinancing at a lower rate. If they can, the bridge loan will have done its job. If they cannot, Hudson Bay will be holding an asset that still needs time, and the clock will be on the lender's side.

For owners of suburban office assets, the lesson is clear: capital is available for repositioning, but only for assets that have already absorbed the worst of the vacancy shock and can show a credible path to stabilization. The market is not rewarding optimism. It is rewarding execution.

SOURCES

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<https://commercialobserver.com/2026/07/hudson-bay-capital-new-jersey-office-campus-jersey-mikes/>

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